

BEFORE

After World War I the world economy slid into a recession that resulted in mass unemployment. Much of Europe experienced high rates of inflation.

NORTH AMERICA AFTER THE WAR

The postwar recession was reasonably short-lived in North America. Factories that produced goods for the war effort soon adapted to producing consumer goods, such as radios and cars, and from 1922 until 1927 the North American economies showed consistent growth.

EUROPE AFTER THE WAR

European agriculture and industries failed to adjust to the reduced demand of peacetime trade, so when millions of soldiers returned home, many could not find jobs. Germany, which had machinery confiscated by the victors, struggled to make **war reparation payments** << 374–75 to the Allies, who in turn had trouble paying off war debts, and **recovery loans** provided by the US.

HYPERINFLATION IN GERMANY

As the Germans thought they would win the war and intended to force the losers to pay for their costs, they chose not to finance it through taxation. Instead, the government ordered the *Reichsbank*, or central bank, to print more and more money to cover its ever-increasing war expenses. The *Reichsbank* continued to print money until 1923, when the purchasing power of the money in

circulation plummeted as the price of everything in Germany inflated rapidly (hyperinflation). At the peak of hyperinflation the exchange rate was **one trillion marks to the US dollar**. Paper money was worth so little that people burned it to heat their houses.



WORTHLESS MARKS

BREAD In 1918 in Germany a loaf of bread cost 0.63 marks. During the hyperinflation crisis the price rose to 201,000,000,000 marks in November 1923.

The Great Depression

The US stock market collapsed in October 1929, triggering worldwide economic recession. Authoritarian regimes rose to power as people lost faith in democratic governments.

During the early 1920s the American economy flourished, but by 1927 the country was overproducing goods for which it did not have a market. Agricultural and factory production soon slowed down, leading to the loss of millions of jobs. Despite the downturn in demand for goods and rising unemployment, financiers and bankers continued to speculate recklessly on New York's Wall Street stock exchange, relying on borrowed money and false optimism.

The Wall Street Crash

In October 1929, stock prices began to decline and investors lost confidence in their shares, opting to sell them all. The first day of real panic, October 24, is known as "Black Thursday." The panic began again on "Black Monday," and on "Black Tuesday," October 29, 16 million shares were sold, and prices on the stock market collapsed completely in what became known as



In the news

The Crash affected all Americans, even making the headlines in this entertainment newspaper.

173 MILLION shares sold on US stock exchange in 1921.
451 MILLION shares sold in 1926.
1,125 MILLION shares sold in frantic trading in 1929.

the Wall Street Crash. Fortunes were lost and companies failed overnight. Wages for those still fortunate enough to have work fell dramatically. Many banks had made loans to businesses and people who could no longer repay

them. Some banks also lost money in the Crash—when people hit by the economic depression needed to withdraw their savings, the banks often did not have the money to give them. This caused other bank customers to panic and demand their cash, so many banks were ruined. As people lost their jobs and savings, mortgages on many homes and farms were foreclosed and the properties were repossessed. Many people were forced to take shelter in shantytowns, which were nicknamed "Hoovervilles" out of resentment for President Herbert Hoover, who refused to provide aid to the unemployed.

Government intervention

As a result of the Crash, US investors withdrew many foreign loans, causing the collapse of the system of international loans set up to handle war reparations (see BEFORE). European countries, including Germany, needed these loans to pay for their imports, and were unable to do so once the funds were taken away. This affected trade between Europe and North America directly. Other parts of the world were also badly hit as much of their trade relied on selling food and raw materials to Europe and North America. The price of commodities, or traded goods, dropped drastically,

EFFECTS OF DEPRESSION

The economic slump that gripped the US spread across the globe. Ill-conceived government measures exacerbated the hardships suffered in many countries.

1929 US loans to and investments in Europe end, causing a worldwide slump in productivity and prices.

1929–33 Stalin collectivizes Soviet agriculture.

May 1931 Austria's largest bank collapses, which in turn sets off a series of banking collapses all over central Europe.

Winter 1931 to 1933 Britain introduces protective import tariffs, but in the Ottawa Agreements gives preferential rates for its overseas territories.

March 9–June 15, 1933 The American Congress passes Roosevelt's New Deal program.

